Mastella Advisory

SECTOR REPORT · NOVEMBER 2026

# UK engineering and technical services M&A 2026: what owners can expect

Consultancy, testing, inspection and certification, and specialist engineering services: where deals are happening, what is being paid and what moves the price.

By Leo Meggitt, Managing Director, Mastella Advisory

November 2026

mastellagroup.com

*By Leo Meggitt, Managing Director, Mastella Advisory*

CONTENTS


1. Executive summary
2. A. The market, 2024 to 2026
3. C. What has actually been sold
4. D. What buyers pay up for, and what they discount
5. FAQ
6. Where to start
7. Sources


# Executive summary

Published multiples for lower mid-market testing, inspection and certification (TIC) businesses sit at roughly **6x to 10x EBITDA** (CapEQ, 18 August 2026). Deal size moves the number more than anything else: Aventis Advisors puts the median for global TICC deals under $10m of enterprise value at **6.2x** and for $10m to $50m at **9.2x** (Aventis Advisors, 2026). No published multiple exists for most owner-managed UK deals, and I have not invented one.

Buyers are mostly trade groups. Of 155 UK and European TICC deals under £100m in the year to August 2026, **126 (about 81%)** had a strategic buyer and 21 involved a financial sponsor (CapEQ, 18 August 2026).

The tax position has moved. HMRC's policy paper of 29 October 2026 proposes cutting the Business Asset Disposal Relief lifetime limit from £1m to **£500,000** for disposals on or after 6 April 2027 (GOV.UK). It is a proposal, with forestalling rules attached, and this is not tax advice.

Buyers pay up for recurring regulated revenue, transferable accreditations, a spread of clients and a management team that can run the business without the founder. They discount founder dependence, client concentration, weak systems and unresolved compliance or safety issues. Section D ends with a checklist you can work through over 12 to 24 months.

# A. The market, 2024 to 2026

## Size and structure

I could not find a published UK revenue figure for TIC or for specialist engineering services as a whole, so I will not give one. The nearest sizing evidence is partial. The trade body ACE reports that UK engineering design consultancy employs **over 470,000 people** and contributes **£39.5bn** to GDP (ACE Impact Report 2026). Those figures measure employment and economic contribution and say nothing about firm turnover, and ACE has an interest in presenting them well. Globally, Oaklins puts the TICC market at about **$250bn**, forecast to grow at 4.5% a year to 2032, with revenue up about 6% in 2025 (Oaklins S&W TICC Report, March 2026). That figure is global.

The structure matters more to an owner than the size. The sector is fragmented, and consolidators are working through it. CapEQ names Phenna, Certania, Kiwa, SOCOTEC and Bureau Veritas among the active strategic acquirers (CapEQ, 18 August 2026), and Oaklins counts 15 acquisitions by Phenna in 2025 (Oaklins, March 2026). UK operating margins are thin: CapEQ cites about 2.5% EBIT in UK TIC against about 5.5% in the US, without naming its source (CapEQ, 18 August 2026). Thin margins make scale and pricing power attractive to a buyer.

## Why owners are selling now

Tax is the newest reason. BADR currently taxes qualifying gains at 18%, subject to a £1m lifetime limit per person. HMRC's policy paper proposes £500,000 for disposals on or after 6 April 2027, with legislation to come in Finance Bill 2026 and anti-forestalling rules for unconditional contracts entered before that date but not completed (GOV.UK, 29 October 2026). HMRC expects about 13,000 of roughly 51,000 claimants to be affected, so about three-quarters are unaffected. The proposal is not law yet, and owners should take advice from their accountant before timing anything around it.

Succession and capital needs come next. CapEQ lists succession gaps, the cost of accreditation and digitisation, regulatory burden and competition from global platforms as the pressures pushing founders towards a sale, and says a weaker pound and a valuation discount are drawing overseas buyers to UK assets (CapEQ, 18 August 2026).

Regulation supports demand and therefore price. Oaklins cites the Building Safety Act and recurring non-discretionary revenue as drivers (Oaklins, March 2026). In consultancy, Cooper Parry names biodiversity net gain and grid capacity assessments as sources of work, and reports record uncommitted private equity capital with investors moving towards consultancy after accountancy and legal (Cooper Parry, April 2026).

Sentiment is split by exposure. Dealsuite's adviser survey put construction and engineering among the top three sector groups where advisers expected activity to fall in the first half of 2026 (Dealsuite M&A Monitor, February 2026). Compliance-driven work and construction-cycle work are being valued differently.

## Valuation evidence

Published evidence is indicative. CapEQ says multiples are derived from comparable public transactions because verified figures are not consistently disclosed. The table sets out what I found, with the segment each figure covers.

| Source and date | Segment | Measure | Range |
|---|---|---|---|
| CapEQ, 18 August 2026 | UK and European lower mid-market TICC | EV/EBITDA | 6x to 10x (inspection 6x to 9x, testing and certification 7x to 10x) |
| Aventis Advisors, 2026 | All TIC deals with a published multiple (global), 54 deals | EV/EBITDA median | 9.9x (under $50m EV: 9.1x on 21 deals) |
| Cooper Parry, April 2026 | Built environment consultancy, private deals | EV/EBITDA | average 8.5x, 6.9x excluding outliers, spread c.4.1x to 15.2x |

Aventis Advisors gives the clearest size effect, using enterprise value in dollars and a global sample from 2015 to September 2026: **6.2x** under $10m (17 deals), **9.2x** from $10m to $50m (21 deals), **11.1x** from $50m to $100m and **13.7x** above $100m (Aventis Advisors, 2026). Its private TIC median, shown in the table, compares with 14.0x for listed peers (Aventis Advisors, 2026). I found no published multiple for building services or specialist engineering contractors that I can cite. Aventis also reports a UK median of 12.0x, which reflects PE-backed platforms bidding for founder-owned businesses, though it does not state the UK sample size.

Large deals sit above all of this and are not a guide for an owner-managed business. Bishop Fleming lists APEM at 14.7x EV/EBITDA and 3.5x EV/revenue (Bishop Fleming, Q4 2025 report), on a price of c.£335m and revenue above £95m per the acquirer's release (Applus, 25 September 2025). That Bishop Fleming report contains inconsistent entries elsewhere, so I use it only for that multiple.

At the small end I found two data points, both derived by me from announcements. Renew Holdings paid up to £9.0m for Electricity Distribution Engineering Services in May 2026, of which £6.5m was initial consideration, on EBITDA of £650,000 (Morningstar, May 2026). The initial payment is **c.10x** (derived: £6.5m divided by £0.65m). For Emerald Power in October 2025 it paid up to £12.3m, with £7.8m initial on adjusted EBITDA of £1.9m (Renew RNS, 13 October 2025), which is **c.4.1x** (derived: £7.8m divided by £1.9m). Renew does not state these multiples, and two deals prove little beyond the width of the spread.

### Deal volume

Counts depend on the tracker, so I quote each separately. Aventis counts global TICC control deals at 390 in 2023, 417 in 2024, 443 in 2025 and 301 up to 7 September 2026 (Aventis Advisors, 2026). CapEQ tracked 155 UK and European TICC deals under £100m in the 12 months to August 2026, and cites Deloitte for 181 global TIC deals in 2025 against 127 in 2024, on a definition that differs from Aventis (CapEQ, 18 August 2026). I found no UK-only count that I could cite, and none for engineering consultancy alone.

## C. What has actually been sold

Mastella Advisory's working log covers UK engineering consultancy, TIC, non-destructive testing (NDT), calibration and specialist engineering deals from January 2024 to 10 November 2026. After removing duplicate rows it holds about **90 distinct deals**: roughly 20 dated 2024, 28 dated 2025 and 44 dated 2026 (derived). The log is a research sample that does not cover every deal, and 2026 was searched more thoroughly than 2024, so the rising yearly counts say nothing about the market.

### Who bought

By the log's own coding (derived and approximate), about 40 buyers were trade or strategic groups, 24 were private equity platforms, 12 were listed groups, 7 were owner-led holding companies, 8 fell into other categories and one was a management buyout. This agrees with CapEQ's 81% strategic share. The trade buyers include SOCOTEC, which described its May 2026 purchase of the energy testing and asset inspection firm LSTC Group as its sixteenth acquisition since 2017 (SOCOTEC, 6 May 2026), and WH Scott Group, whose April 2026 purchase of Workplace Inspection Services in Pontyclun was its eighth specialist engineering and testing acquisition (Business News Wales, April 2026). CDL Group, an owner-led group in mid Wales, bought Ultraflux NDT in July 2026 (BINDT, July 2026).

The sponsor-backed platforms keep changing hands. Goldman Sachs Alternatives took a majority of Celnor Group on 23 October 2026, with Inflexion keeping a minority, and Ara Partners took a majority of the design consultancy Bryden Wood on 17 September 2026, both reported by the aggregator PSMJ (PSMJ AEC transactions). I could not confirm either against a primary release. New capital in a platform normally means more bolt-on buying, though I have no source saying so for these two.

## What size and which niches

Most targets are small. Examples with stated headcount include Quattro Consult in Edinburgh at 15 staff (Scottish Construction Now, January 2026) and Allen Gordon at about 35 staff, bought by AECOM in April 2025 (Construction Index, April 2025). At the other end, Stantec completed its takeover of Hydrock on 30 April 2024, a firm with about 950 staff and turnover of £74m in the year to March 2023 (Construction Index, 2024), and Artelia took employee-owned Pick Everard, with 700 or more staff and 2024 turnover of £71m, on 29 October 2024 (Construction Index, 2024).

Four niches recur in the log. Building services and mechanical and electrical (M&E) consultancy is the largest. Energy network and grid engineering is next, covering overhead lines, high voltage design and utilities consultancy. Regional NDT and statutory inspection roll-ups follow, and fire safety and building compliance, where Celnor and other sponsor-backed groups are active, comes last. I found almost no owner-led or employee-owned buyers in NDT or calibration outside the groups named above.

## What was disclosed

Of about 90 deals, only six disclosed a price, roughly 7% (derived). WSP agreed to buy Ricardo for **£281m** in June 2025, on Ricardo turnover of £475m and pre-tax profit of £4.3m for the year to June 2024 (Building, June 2025). Mitie agreed to buy Marlowe for **£366m**, completing on 8 August 2025 (Morningstar, June 2025). SRJ Technologies agreed to buy the remote inspection firm Air Control Entech in July 2024 for **£4.5m** in cash plus shares worth about A$9.6m (Offshore Technology, July 2024). The other three are APEM and the two Renew deals above.

## How the deals were structured

The two Renew deals show the shape. Contingent payments were 28% of the maximum price for the electricity design business (£2.5m of £9.0m) and 37% for Emerald Power (£4.5m of £12.3m), both derived from the announcements. CapEQ says earn-outs, rollover equity and deferred consideration are now standard where founder involvement matters, and that in testing services the large majority of deals include some management or founder rollover (CapEQ, 18 August 2026). A quoted multiple and the cash received at completion are different numbers, and Aventis makes the same point (Aventis Advisors, 2026).

# D. What buyers pay up for, and what they discount

## Premium drivers

The advisers I read agree on a cluster, and none of them publishes a quantified premium for each item. CapEQ describes compliance-mandated contract revenue as behaving like an annuity with high barriers to entry, and says accredited, recurring-revenue platforms reach the top of the 6x to 10x range (CapEQ, 18 August 2026). CapEQ also names accredited credentials as a premium driver. Aventis says the breadth and transferability of accreditations raise value, and that local laboratories with narrow accreditation scope and commodity testing trade below multi-vertical players (Aventis Advisors, 2026).

Growth is the one driver with a number attached. Aventis found that a 10% rise in expected two-year revenue growth goes with roughly 1.0x more EBITDA multiple (Aventis Advisors, 2026). Management depth, low client concentration and digital delivery are named by CapEQ. It adds that under-digitalised, founder-dependent businesses may clear well below the range or not at all.

## Discounts

Owner dependence is the discount advisers name most often. CapEQ puts founder-dependent, single-market and under-digitalised businesses at the bottom of its range. A US adviser, Adastra Equity, claims 1.0x to 2.0x of EBITDA for owner dependence, often with a 12 to 24 month transition or earn-out (Adastra Equity, undated). That is US marketing material and I would not apply it to a UK business as a rule. I found no UK-sourced figure for any single red flag.

Compliance and safety history draw close attention. CapEQ lists unresolved compliance, contract or accreditation risk as a discount driver and says buyers now assess compliance readiness more rigorously than 18 months ago. Arinite's August 2026 guidance on health and safety due diligence says an implausibly clean incident log is assumed to be under-reported, undisclosed enforcement action gives the buyer leverage, and in a share purchase the buyer inherits the full regulatory history (Arinite, 1 August 2026). Marsh points out that buyers of professional services firms ask about cover for claims made after completion relating to events before it, and that sellers can use warranty and indemnity or specific risk insurance to limit their post-closing exposure (Marsh, 2 July 2023). Building magazine advises buyers to check professional indemnity claims history and whether work in progress converts to cash (Building, undated).

Size is a discount in its own right. A business with EV under $10m sits at a 6.2x median in the Aventis data, so for many owners in the £2m to £30m turnover range the first lever is making a small business look like a larger, better-run one. Hilton Smythe advises fixing weak financial

reporting, owner reliance, unsecured contracts and undocumented processes before a sale (Hilton Smythe, 10 March 2026).

### A checklist for the next 12 to 24 months

1. Split revenue into recurring, contracted or statutory work and one-off project work, and track the split monthly. Buyers value the first group above the second.
2. List every accreditation and licence with its scope, renewal date and the person who holds it, and confirm what transfers on a change of control.
3. Clear any open audit findings, non-conformances or regulator correspondence, because unresolved accreditation risk is a named discount.
4. Find out how much revenue the top client and top five clients provide, and start widening the base if one name dominates.
5. Move key client and regulator relationships to at least two people other than you, and write down who holds each one.
6. Name and develop a second-in-command who can run delivery for six months without you.
7. Document delivery processes and put timesheets, job costing and quality records on systems that produce audit-ready reports.
8. Produce monthly management accounts on a consistent basis, and review how work in progress turns into cash.
9. Collect health and safety records, incident logs and any enforcement history in one place, with the competent persons identified.
10. Pull together your professional indemnity claims history and the cover you hold, including what happens to claims after a sale.
11. Show organic growth and pricing power with evidence, such as price increases accepted and repeat orders.
12. Talk to your accountant about BADR and the proposed £500,000 limit, and ask what a completion before or after 6 April 2027 would mean for you.

## FAQ

### What multiple should I expect?

Published ranges for lower mid-market TIC are 6x to 10x EBITDA, and Aventis shows a median of 6.2x for deals under $10m of EV. Consultancy deals in Cooper Parry's private sample average 6.9x to 8.5x. For most owner-managed UK deals no multiple is published.

## Should I sell before April 2027 because of BADR?

The proposal would reduce the lifetime limit from £1m to £500,000 for disposals on or after 6 April 2027, and HMRC expects about 13,000 claimants to be affected. It is a proposal, there are forestalling rules, and a deal timed around tax alone can lose value elsewhere. Please take advice from your accountant.

## Who is buying?

Mostly trade groups: 126 of 155 sub-£100m UK and European TICC deals in the year to August 2026 had a strategic buyer. Private equity backs some of those groups. Aventis reports a 64% PE-owned buyer share globally, which uses a different sample and definition from CapEQ.

## Will I have to stay on after the sale?

Often a buyer wants a handover period, and CapEQ says retention-heavy structures follow where founder involvement is critical. I found no UK source giving a typical length. The US adviser material cited in Section D quotes 12 to 24 months for owner-dependent firms.

## How much of the price is paid at completion?

It varies. The two Renew deals held back 28% and 37% of the maximum price as contingent payments. CapEQ says rollover and earn-outs are now standard in structures where the founder matters.

## Does my size count against me?

It does on multiples: the Aventis median rises from 6.2x under $10m of EV to 9.2x between $10m and $50m. Buyers still take small firms, such as the 15-person Edinburgh practice bought in January 2026.

## I run a project-based consultancy. Is it worth less than an inspection business?

I found no quantified discount for project income, though CapEQ describes compliance-mandated contract revenue as behaving like an annuity that buyers pay more for. Repeat clients, framework positions and a retained team narrow the gap, and Cooper Parry's private consultancy deals average 6.9x to 8.5x.

### Is an employee ownership trust or management buyout an option?

Both exist in the sector, and a Lancaster NDT supplier was sold to its management team in June 2025 (BINDT, June 2025). The Business Sale Report says management buyouts and employee ownership trusts typically bring much lower upfront consideration, and I found no EOT statistics for engineering firms.

### How early should I prepare?

I would allow 12 to 24 months for the checklist above. CapEQ advises founders considering an exit within one to three years to treat readiness as the main lever they control.

## Where to start

If you are thinking about a sale within the next one to three years, the quickest first step is the free Exit Readiness Score at **mastellagroup.com/exit-readiness-score/**, which takes you through the buyer measures in Section D.

Or start with a confidential conversation: leo@mastellagroup.com

RELATED

- 12 months before you sell: the preparation that moves the number
- How to sell a business in the UK

## Sources


- ACE Impact Report 2026
- Oaklins S&W TICC Report, March 2026
- CapEQ, UK & European TICC M&A Report 2026 (18 August 2026)
- Cooper Parry, Built Environment Consultancy Insights (April 2026)
- Dealsuite M&A Monitor (February 2026)
- Aventis Advisors, M&A in TIC: a decade of steady volume and shifting value (2026)
- Aventis Advisors, TIC company valuations (2026)
- Bishop Fleming, UK testing, inspection, certification and compliance Q4 2025
- GOV.UK, Capital Gains Tax: new Business Asset Disposal Relief lifetime limit (29 October 2026)
- Applus, acquisition of APEM Group (25 September 2025)
- Morningstar, Renew buys EDES (May 2026)
- Renew RNS, Acquisition of Emerald Power (13 October 2025)
- SOCOTEC, acquisition of LSTC Group (6 May 2026)

- Business News Wales, WH Scott Group acquires Workplace Inspection Services (April 2026)
- BINDT, CDL Group acquires Ultraflux NDT (July 2026)
- PSMJ, AEC transactions news
- Scottish Construction Now, Quattro acquisition (January 2026)
- Construction Index, AECOM takes over Scottish firm (April 2025)
- Construction Index, Stantec takes over Hydrock (2024)
- Construction Index, New owner for Pick Everard (2024)
- Building, WSP to buy UK engineering consultant for £281m (June 2025)
- Morningstar, Mitie to buy Marlowe (June 2025)
- Offshore Technology, SRJ acquiring Air Control Entech (July 2024)
- BINDT, A new chapter for Sonaspection International (June 2025)
- Adastra Equity, selling an engineering firm (US, undated)
- Arinite, Health and safety due diligence in M&A (1 August 2026)
- Marsh, M&A considerations for professional services firms (2 July 2023)
- Building, Acquisitions highly rewarding but be pragmatic (undated)
- Hilton Smythe, advanced and precision engineering insight (10 March 2026)
- Business Sale Report, selling a consultancy business (undated)